

Industrial Automation: Growing But at a Slow Pace

Industrial automation plays an important role in achieving manufacturing excellence. It not only helps in competing better due to increased machine reliability, flexibility, synchronised and efficient production system and enhanced quality but also reduces the possibility of human errors, which ultimately reduces the cost of error recovery



APARNA LALL

Like China, India also has a lot of potential to grow in the field of industrial automation. The sector is expected to grow by 15 to 20 per cent from its present ₹ 120 billion size. What is good news is that now the manufacturers have also understood the fact that to compete with the major global players and for the progress of the industrial set-up in the country, automation is one of the most promising ways out.

A recent report released by TechNavio's analysts also forecasts that the system integration services market for industrial automation is expected to

grow at a CAGR of 10 per cent in the next five years, thanks to the increasing need for tailor-made solutions.

"The automation industry is a service provider and its growth entirely depends upon the growth of other sectors. If other sectors are stagnant or decelerating, automation sector will also have similar effect. In the last couple of years, the automation industry in India grew at an average of 12 per cent per annum. Today, the automation industry in India is approximately worth ₹ 120 billion and we have a potential to grow by 15-20 per cent, given the existing capacity addition in manufacturing, infrastructure and energy sector," inform Anup Wadhwa, director, Auto-

mation Industry Association (AIA) and K. Nandakumar, president, AIA.

However, they accept that there has been no major investment in the sector, except some major ongoing oil and gas projects. But there are some positive signs that soon investments in oil and gas, fertilisers, petrochemicals and cement sectors would pick up and give a major boost to the industry. Talking about the reason why investment is not taking place, they say, "Our industry's growth is linked to the growth of the capital goods sector and the slowdown of that sector has more political reasons than technology reasons."

Current scenario and market drivers

A strong manufacturing base with maximum productivity is a must for the economic growth of any country and, in this globalised and highly competitive world, the manufacturers also need to keep on re-inventing to decrease costs by opting for better technology, processes and improving productivity as well as quality. The growing automation in the industries is helping the manufacturing and process industry to tackle some hurdles and further improve on quality and productivity.

Presently, only high-cost plants have gone through automation in the country, but there is a need to start automation in every field, especially the industries which are technology oriented, like power plants, iron and steel, chemical and pharmaceutical, mining,